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Case Number: 26STCV01588 Hearing Date: July 30, 2026 Dept: 731

[TENTATIVE] ORDER RE: DEMURRER

BY DEFENDANT FARMERS INSURANCE EXCHANGE TO PLAINTIFF'S FIRST AMENDED COMPLAINT

Background Facts

Plaintiff Dina Kholghamadi ("Plaintiff"),
in pro per, sues Defendants Truck Insurance Exchange ("TIE") and Farmers
Insurance Exchange ("Farmers") pursuant to a May 4, 2026, First Amended
Complaint ("FAC") alleging claims of (1) Breach of Contract as against
Defendant TIE, (2) Breach of the Implied Covenant of Good Faith and Fair
Dealing as against Defendant TIE and, in the alternative, as against Defendant
Farmers, and (3) Declaratory Relief as against all Defendants.

Plaintiff's claims arise from allegations
that following a covered fire loss to Plaintiff's home, Defendants
under-calculated and prematurely limited certain benefits under Plaintiff's
policy with Defendant TIE, to which Farmers is tied based on conduct relating
to the policy.

Now before the Court is Farmers' opposed
demurrer to the three causes of action alleged in the FAC.

Demurrer

a.

Meet and Confer

The Court initially notes that the

moving papers fail to attach a meet and confer declaration required by the Code of Civil Procedure. (Code Civ. Proc., § 430.41; see Demurrer, pp. 13-14 [detailing meet and confer efforts].) However, the court cannot overrule or sustain a demurrer on the grounds that the parties failed to meet and confer. (Cal. Civ. Proc. Code § 430.41(a)(4); see also *Dumas v. Los Angeles County Bd. of Supervisors* (2020) 45 Cal.App.5th 348, 355-56 [“Nothing in the text of section 430.41, subdivision (a)(4), conditions its operation on compliance with other provisions. To the contrary, it instructs that ‘[a]ny’ determination that the process was insufficient will not be grounds to overrule the demurrer”].) The court nevertheless admonishes Defendant to note requirements imposed by the Code.

b. Legal Standard

A demurrer for sufficiency tests whether the complaint states a cause of action. (*Hahn v. Mirda* (2007) 147 Cal.App.4th 740, 747; see Code Civ. Proc., § 430.10, subd. (e).)

To sufficiently allege a cause of action, a complaint must allege all the ultimate facts—that is, the facts needed to establish each element of the cause of action pleaded. (*Committee on Children’s Television, Inc. v. General Foods Corp.* (1983) 35 Cal.3d 197, 212, superseded by statute as stated in *Branick v. Downey Savings & Loan Assn.* (2006) 39 Cal.4th 235, 242.) “[E]ach evidentiary fact that might eventually form part of the plaintiff’s proof need not be alleged.” (*C.A. v. William S. Hart Union High School Dist.* (2012) 53 Cal.4th 861, 872.)

In testing the sufficiency of the cause of action, the demurrer admits the truth of all material facts properly pleaded. (*Aubry v. Tri-City Hospital Dist.* (1992) 2 Cal.4th 962, 966-67.) Courts read the allegations liberally and in context. (*Taylor v. City of Los Angeles Dept. of Water and Power* (2006) 144 Cal.App.4th 1216, 1228, disapproved on other grounds, *Jones v. Lodge at Torrey Pines Partnership* (2008) 42 Cal.4th 1158, 1162.) A demurrer, however, “does not admit contentions, deductions or conclusions of fact or law.” (*Daar v. Yellow Cab Co.* (1967) 67 Cal.2d 695, 713.)

A demurrer may only be used to challenge defects that appear on the face of the pleading under attack or from

matters outside the pleading that are judicially noticeable. (Blank v. Kirwan (1985) 39 Cal.3d 311, 318.) The face of the complaint includes exhibits attached to the complaint. (Frantz v. Blackwell (1987) 189 Cal.App.3d 91, 94.) If facts appearing in the exhibits contradict those alleged, the facts in the exhibits take precedence. (Holland v. Morse Diesel Intern., Inc. (2001) 86 Cal.App.4th 1443, 1447, superseded by statute on other grounds as stated in White v. Cridlebaugh (2009) 178 Cal.App.4th 506, 521.)

c. Discussion

i.

Demurrer, FAC, First Cause of Action,
Breach of Contract

While the notice of demurrer challenges the first cause of action (Demurrer, p. 4 at Demurrer Notice, ¶ 1), the header of the first cause of action as reflected in the FAC shows that the breach of contract claim is only alleged against Defendant TIE, and not at all as against Farmers (FAC, 19:8-11), a distinction highlighted in Plaintiff's opposition (Opposition, 3:16-18).

Farmers' demurrer is thus OVERRULED
as to the first cause of action.

ii.

Demurrer, FAC, Second Cause of Action,
Breach of the Covenant of Good Faith and Fair Dealing

Farmers challenges the FAC's second cause of action on the ground that the FAC fails to allege that a contract exists between Farmers and Plaintiff. (Demurrer, pp. 19-21.) Elsewhere, Farmers argues that the factual bases for alter ego doctrine are insufficiently alleged in the FAC (Demurrer, pp. 16-19) and that the FAC is uncertainly alleged as to Farmers (Demurrer, pp. 21-22).

First, as argued by Farmers (Demurrer, p. 19), the FAC fails to allege that Farmers Insurance Exchange was a party to the insurance contract issued to Plaintiff. There are no allegations in the FAC of a verbal or written contract between Plaintiff and Farmers, and

any allegations in the FAC regarding an implied-in-conduct basis for a contract are uncertain. (See, e.g., FAC, ¶ 20 [explicitly alleging Farmers is not an issuing insurer on the policy but seemingly attempting to allege reliance-based contract principles].)

While Plaintiff vaguely argues in opposition that the FAC pleads alternative grounds to find that Defendant is a party to the insurance policy—e.g., the denial of coverage by a representative whose communications identify him as both a Farmer and TIE employee, as shown in emails attached to the FAC (see Opposition, pp. 5-6)—these arguments are not clearly fleshed out. Moreover, those arguments do not sufficiently reference any authority that would permit this court to rule on demurrer that the FAC alleges facts that, when juxtaposed against case law, show the basis for a contract between Farmers and Plaintiff as to support a breach of covenant claim.

Second, as argued by Farmers, the FAC's alternative bases for liability—direct participation, agency, ostensible authority, ratification, holding out, integrated claims administration, joint participation, alter ego, integrated enterprise, and attribution of Farmers-branded claim conduct to TIE (FAC, ¶¶ 29, 124)—are insufficiently fleshed out in the FAC as to support liability on Farmers through TIE's alleged misconduct. For example, no allegations amounting to ultimate facts showing unity of interest or inequitable result appear on the face of the FAC. (See FAC, ¶¶ 29, 124 [sole substantive allegations of alter ego, etc.]; cf. *Rutherford Holdings, LLC v. Plaza Del Rey* (2014) 223 Cal.App.4th 221, 235-236 (*Rutherford*) [unity of interest sufficiently pleaded where “*Rutherford* alleged that *Caswell* dominated and controlled *PDR*; that a unity of interest and ownership existed between *Caswell* and *PDR*; that *PDR* was a mere shell and conduit for *Caswell*'s affairs; that *PDR* was inadequately capitalized; that *PDR* failed to abide by the formalities of corporate existence; [and] that *Caswell* used *PDR* assets as her own ...”], abrogated on other grounds in *Lee v. Hanley* (2015) 61 Cal.4th 1225, 1240 [abrogation as to conversion].)

Consequently, because the FAC neither alleges a direct contract with Farmers nor bases for joint liability, such as alter ego liability, the FAC's second cause of action is insufficiently alleged as against Farmers.

Farmers' demurrer is accordingly

SUSTAINED as to the second cause of action, with leave to amend.

iii.

Demurrer, FAC, Third Cause of Action,
Declaratory Relief

As against the FAC's third cause of action for declaratory relief, Farmers argues that the Court may (not must) determine that there is no controversy to adjudicate because the underlying insurance claim has since been resolved, as alleged in the FAC at paragraph 17, and that because the first and second cause of action function as alternative forms of relief, the third cause of action is unnecessary and may be subject to demurrer. (Demurrer, pp. 22-23.)

The Court finds in favor Defendant.

Declaratory relief operates to declare future rights, not to address past wrongs. As stated by the court of appeal:

... "Declaratory relief operates prospectively, serving to set controversies at rest before obligations are repudiated, rights are invaded or wrongs are committed. Thus the remedy is to be used to advance preventative justice, to declare rather than execute rights. [Citation.]" [[Citation.]] In essence, declaratory relief operates to declare future rights, not to address past wrongs. [[Citation.]] [¶] A party seeking declaratory relief must show a very significant possibility of future harm. [[Citation.]] ...

(Monterrey Coastkeeper v. Central Coast Regional Water Quality Control Board (2022) 76 Cal.App.5th 1, 13 (Monterrey), citations omitted.)

Here, the declarations of rights sought by the third cause of action all address past wrongs arising from denial of coverage to Plaintiff or Farmers' liability for that denial of coverage rather than a declaration of rights relating to some future harm. (See FAC, ¶¶ 145-145j.)

Moreover, the declaratory relief claim merely duplicates issues that will necessarily be resolved through

Plaintiff's breach of contract and breach of the implied covenant causes of action. To the extent Plaintiff seeks a declaration regarding Defendants' obligations under the insurance policy or liability arising from the handling of Plaintiff's claim, those issues will be resolved through the adjudication of Plaintiff's substantive claims. Declaratory relief is therefore unnecessary.

Consequently, under Monterrey, the Court SUSTAINS Farmers demurrer to the third cause of action, with leave to amend.

d. Conclusion

Defendant Farmers Insurance
Exchange's demurrer is:

(1) OVERRULED as to the FAC's first
cause of action; and

(2) SUSTAINED, with leave to amend,
as to the FAC's second and third causes of action.

Defendant Farmers Insurance
Exchange is ordered to give notice.

Parties who intend to submit on this tentative must send an email to the court at indicating intention to submit on the tentative as directed by the instructions provided on the court website at www.lacourt.org. If the department does not receive an email indicating the parties are submitting on the tentative and there are no appearances at the hearing, the motion may be placed off calendar. If a party submits on the tentative, the party's email must include the case number and must identify the party submitting on the tentative. If the parties do not submit on the tentative, they should arrange to appear remotely.